

**LAND
OF THE
CURIOUS**

Service Design

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Professor of Software Engineering



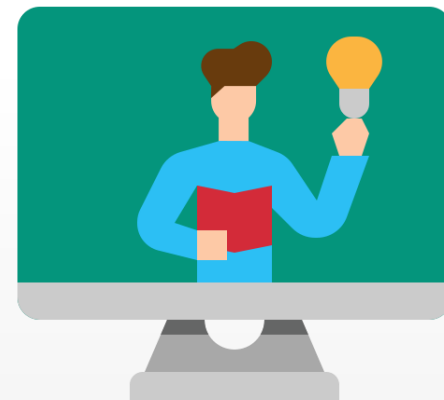
Service Design

1. Principles and Theories of Services
2. Principles and Theories of Design
3. Principles and Theories of Service Design
4. Tools and Methods of Service Design



Recap

- Many definitions of what is a service
- Services are extremely diverse
- Service offering and 3 key spheres: care, access, response
- Service vs. product
- Services can exist around products
- Many business interested in servitization
- Product-service hybrids



Product/service hybrids

Product-service hybrids

PURE MATERIAL GOODS

The offer is made only by tangible goods (product) that isn't accompanied by any service - e.g. soap, toothpaste, salt...

PREDOMINANT MATERIAL GOODS WITH ACCOMPANYING SERVICES

The offer consists primarily of a product that is accompanied by a minor service (or retail services) - e.g. clothes item with a return or mending service

HYBRID

The offer is made equally by products and services - e.g. Apple, Ikea, Nike...

PREDOMINANT SERVICE WITH ACCOMPANYING GOODS

The essence of offer is a service, accompanied by (minor) goods - e.g. basis of air transport is a service (transportation) accompanied by food, beverage, tax-free items etc.

PURE SERVICE

The offer is made only through services - e.g. physiotherapy, babysitting



Chapter 1

Principles and theories of services

Section: Value definition

Value definition

DEF

- 1: the monetary worth of something
- 2: a fair return or equivalent in goods, services, or money for something exchanged
- 3: relative worth, utility, or importance
- 4: something (such as a principle or quality) intrinsically valuable or desirable



The worth of something
Highly individual

Product: Address a need
Service: Create a value

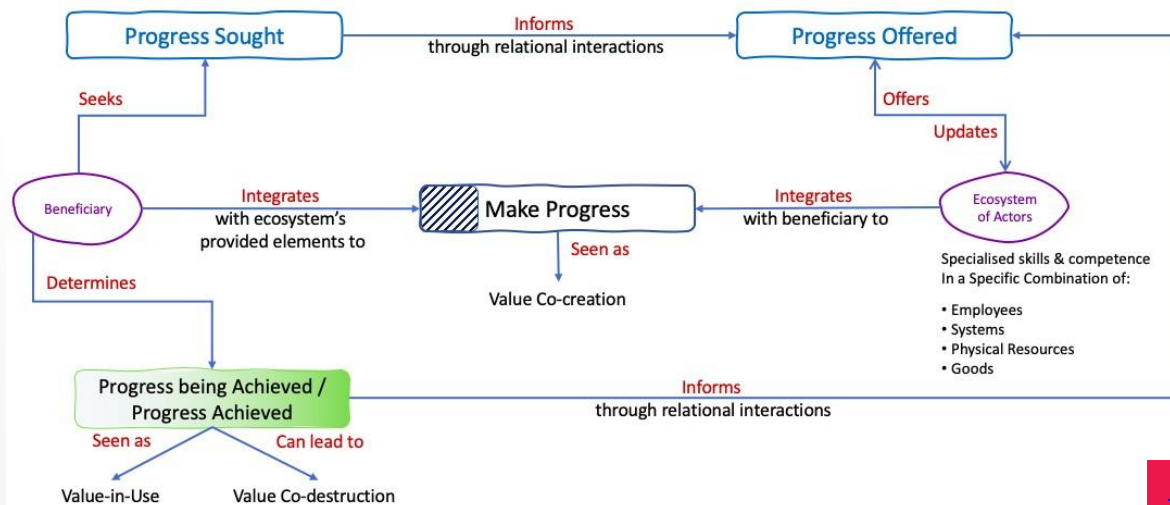


<https://www.merriam-webster.com/dictionary/value>

A wider view of value

Value is co-created

- beneficiaries who are seeking to make progress in various aspects of their life (*progress sought*).
- a variety of ecosystems that form with the purpose of offering to help beneficiaries make progress (*progress offered*).



Value propositions



<https://solvinnov.com/what-is-value/>

New value definition

DEF

Value is the **amount of progress** a beneficiary feels they are achieving when they integrate their resources with resources from an ecosystem's offering to help with progress.



<https://solvinnov.com/what-is-value/>



Chapter 1

Principles and theories of services

Section: Service-dominant logic

Service-dominant logic (SDL)

DEF

A concept explaining value creation in service-exchange between actors through intangible resources.

- **SDL or SD-logic** asserts that *marketing* is moving away from a ‘**goods-dominated**’ view that centers on transactions of tangible goods, to a ‘**service-dominant**’ view which focuses on intangible resources and relationships as the fundamental source of value.



S

Vink et al. (2020)

Service-dominant logic (SDL)

- **SDL** show companies how they can successfully design services in a very strongly customer-centric view

Relevant for marketing
Don't advertise a product
Advertise and propose value



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Vink et al. (2020)

KM: Design in a very customer-centric view

Service-dominant logic (SDL)

	G-D logic	S-D logic
Primary unit of exchange	Goods	Knowledge and skills, services
Purpose of economic activity	To make and distribute tangible units of output (goods)	Exchange of services
Value	It is embedded in goods during manufacturing. It is determined by the producer	It is co-created in the service exchange. It is determined by the consumer in use. Firms only make “value propositions”
Role of goods and services	Services are immaterial goods or add-ons to tangible products – they have a secondary role	Goods are vehicles for service production.

SDL axioms and foundational premises

S-D logic axioms and foundational premises		
Axiom 1/FP1	Service is the fundamental basis of exchange.	“There has been increased recognition of the need for a crisper and more precise delineation of the foundational premises and specification of the axioms of S-D logic” (Vargo and Lusch, 2015)
FP2	Indirect exchange masks the fundamental basis of exchange.	
FP3	Goods are a distribution mechanism for service provision.	
FP4	Operant resources are the fundamental source of strategic benefit.	
FP5	All economies are service economies.	
Axiom 2/FP6	Value is cocreated by multiple actors, always including the beneficiary.	
FP7	Actors cannot deliver value but can participate in the creation and offering of value propositions.	
FP8	A service-centered view is inherently customer oriented and relational.	
Axiom 3/FP9	All social and economic actors are resource integrators.	
Axiom 4/FP10	Value is always uniquely and phenomenologically determined by the beneficiary.	
Axiom 5/FP11	Value cocreation is coordinated through actor-generated institutions and institutional arrangements.	

Added 2015

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Lusch & Vargo (2006)

SDL axioms and foundational premises

S-D logic axioms and foundational premises	
Axiom 1/FP1	Service is the fundamental basis of exchange. 
FP2	Indirect exchange
FP3	Goods are a <u>The application of operant resources (knowledge, skills and competences) creates services, which are the basis of all exchanges. Services are exchanged for services.</u>
FP4	Operant resources are the fundamental source of strategic benefit.
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Lusch & Vargo (2006)

Operant resources: capabilities, knowledge, skills, competencies

Axiom 1

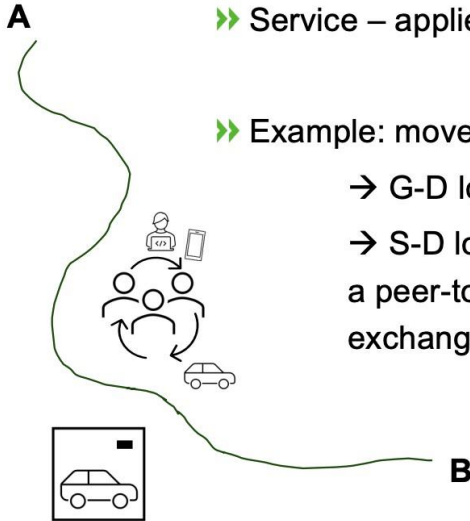
FP1 / AXIOM 1: SERVICE IS THE FUNDAMENTAL BASIS OF EXCHANGE

The
"What"

- » Historically, service have been exchanged for service
- » Service – applied knowledge for another party's benefit – is exchanged for service
- » Example: move from City A to B

→ G-D logic: car manufacturer sells you a car

→ S-D logic: renting out a car (physical resources, systems and often employees), or a peer-to-peer platform to connect travellers with free seats in cars (system). Money exchange involved is also a part of related service (credit card, bank)



<https://solvinnov.com/what-is-value/>

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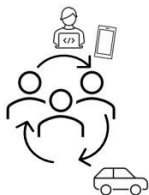
Implies value creation as a two-way process.



Axiom 2

FP6 / AXIOM 2: VALUE IS COCREATED BY MULTIPLE ACTORS, ALWAYS INCLUDING THE BENEFICIARY

- » Shift from traditional worldview, in which firms are seen as the sole creator of value
- » Value creation as a multiple-way process involving multiple social and economic actors
- » The customer (beneficiary) is always involved in co-creating value - There is no value until an offering is used
- » Note: value cocreation DOESN'T MEAN "active participation in the firm's design, definition, creation, etc. of its offering" IT MEANS "the actions of multiple actors, often unaware of each other, that contribute to each other's wellbeing" (Vargo & Lusch, 2016)



The
"How"

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Implies the context of value creation via networks as resource vehicles.

S

Lusch & Vargo (2006)

Axiom 3

FP9 / AXIOM 3: ALL SOCIAL AND ECONOMIC ACTORS ARE RESOURCE INTEGRATORS

- » All social and economic actors: e.g. individuals, households, firms, nations, etc.
- » Service occurs when these actors integrate their resources, based on an attractive value proposition, in order to follow through a process of co-creating value

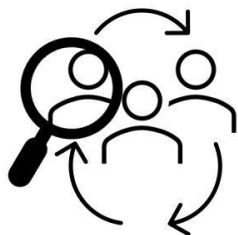


Photo: Helsingin kaupunki

The
“Who”

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Value is idiosyncratic, based on subjective experience, contextual, and loaded with meaning.

S

Lusch & Vargo (2006)

Axiom 4

FP10 / AXIOM 4: VALUE IS ALWAYS UNIQUELY AND PHENOMENOLOGICALLY DETERMINED BY THE BENEFICIARY

- » Value is based on subjective experience
- » All value propositions (e.g., goods, service provision, etc.) are perceived and integrated differently by each actor → value is also uniquely experienced and determined

- » Example: Netflix
- » Value proposition: “Watch Anywhere, Cancel Anytime”
- » Service offering: subscription models, access from several devices, downloading option to view offline, profiles for children



The
“How”

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Focusing on the role of institutions and institutional arrangements in systems of value cocreation: service ecosystems.

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Lusch & Vargo (2006)

Axiom 5

FP11 / AXIOM 5: VALUE COCREATION IS COORDINATED THROUGH ACTOR-GENERATED INSTITUTIONS AND INSTITUTIONAL ARRANGEMENTS

- » Institutions = humanly devised rules, norms, and beliefs that enable and constrain action and make social life predictable and meaningful



Photo: Helsingin kaupunki

The
“Ecosystem”

SDL axioms and foundational premises

The What

FP1': We exchange service, not value or products

FP2': This direct exchange of service is masked, often by the use of cash, or organisational structure

FP5': We see all economies as service economies, eras are when certain skills are prevalent

FP8': We need to be beneficiary oriented as well as relational (before and after "sale")

The Who

FP9': Everybody involved in delivering the service, including the beneficiary, is integrating resources

FP4': Resources that act upon things (typically people) are the fundamental source of strategic benefit

FP3': Goods distribute service; they are either service frozen in time or items for supporting self-service

The How

FP7': Only value propositions can be created and offered

FP6': Value is co-created by everyone involved, always including the beneficiary

FP10': Value is always uniquely determined by the (fickle) beneficiary through their lived experiences

FP11': Value creation is coordinated through actor-generated institutions and institutional arrangements

Source: Adapted from Vargo & Lush (2016) "Institutions and axioms: an extension and update of service-dominate logic"

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SDL summarized

- Service-dominant is a perspective where everything is a service
 - value is co-created;
 - only the beneficiary determines the value.
- Versus the goods dominant logic in which the value lies in exchange

Problem: There is the deeply ingrained goods-dominant logic in basic teaching in sales, marketing and business schools.

More on: <https://solvinnoy.com/making-service-dominant-logic-more-approachable/>

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Tacy (2021)

KM: Companies can only propose value

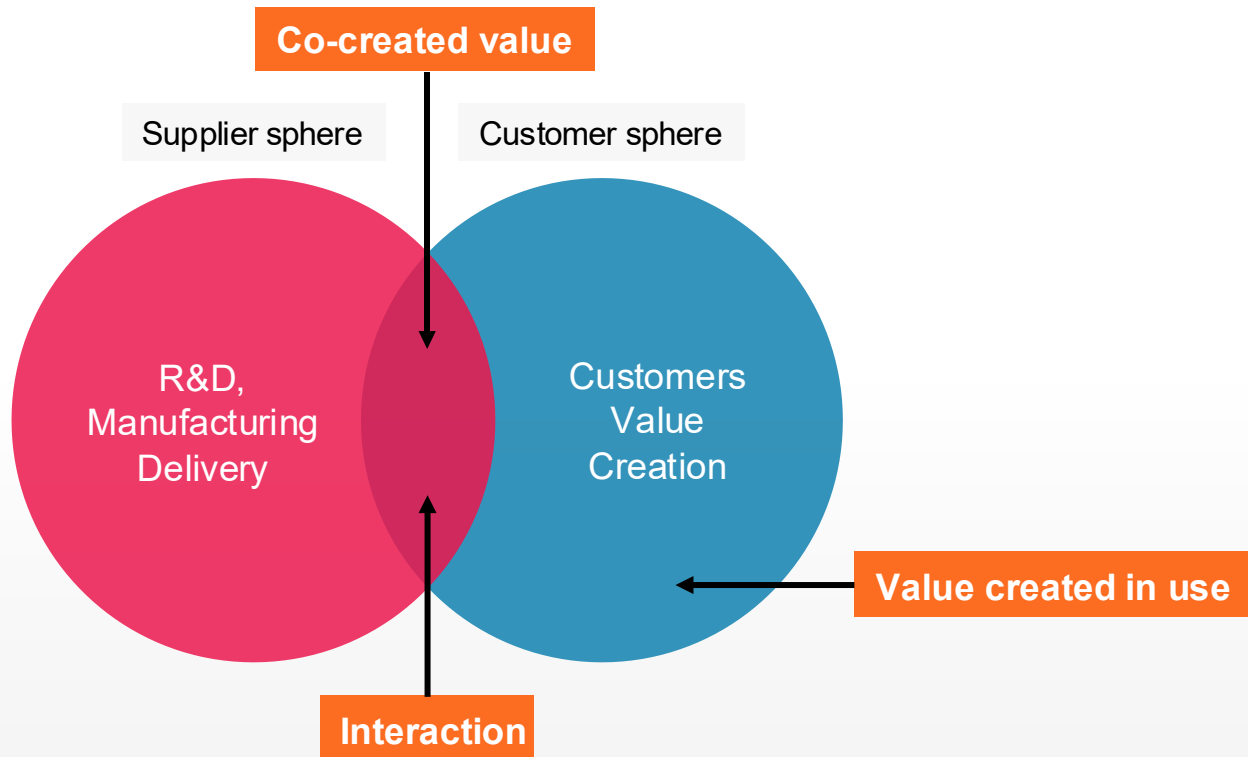


Chapter 1

Principles and theories of services

Section: Value of a service

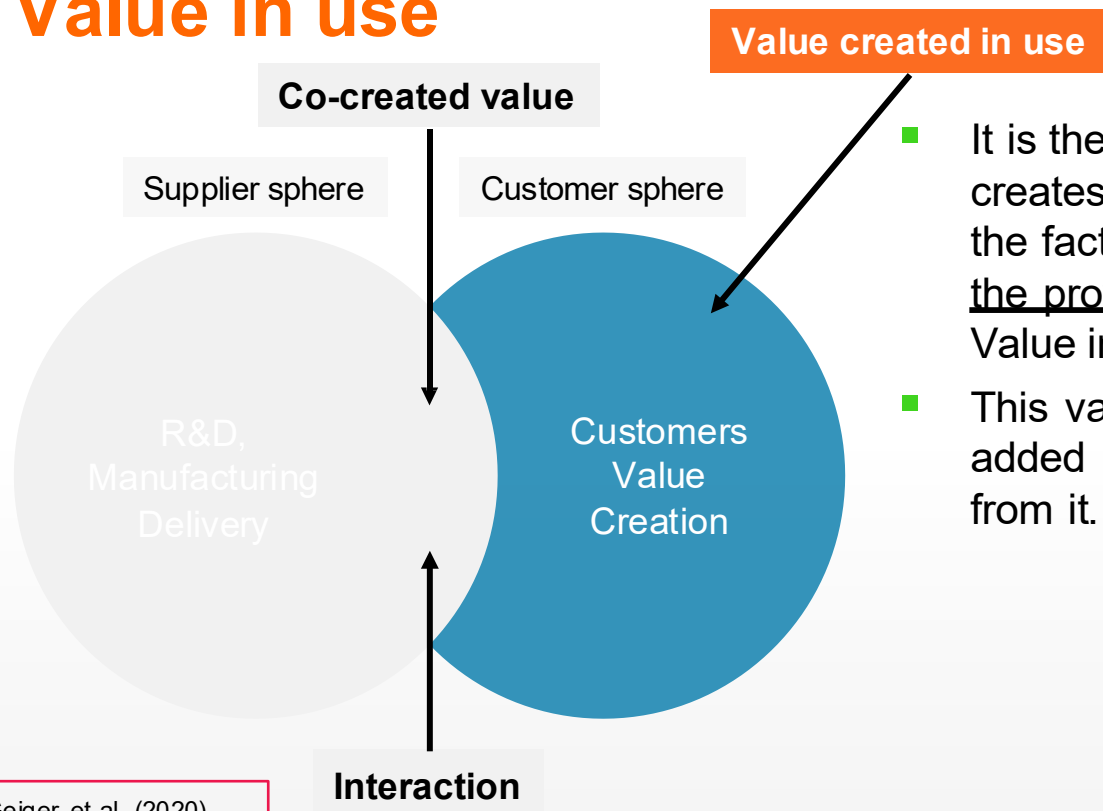
SDL and co-created value



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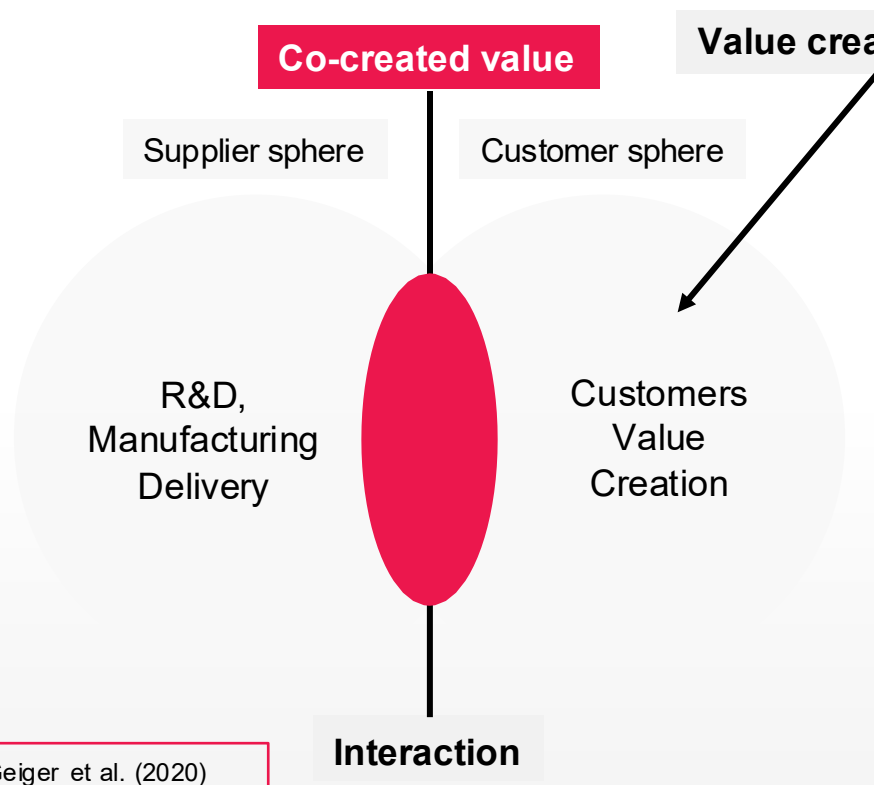
Lusch & Vargo (2016)

Value in use



- It is then no longer the provider that creates value, but the value arises from the fact that the customer makes use of the provider's competences – called Value in Use
- This value is measured solely from the added value that the customer derives from it.

Value in interaction



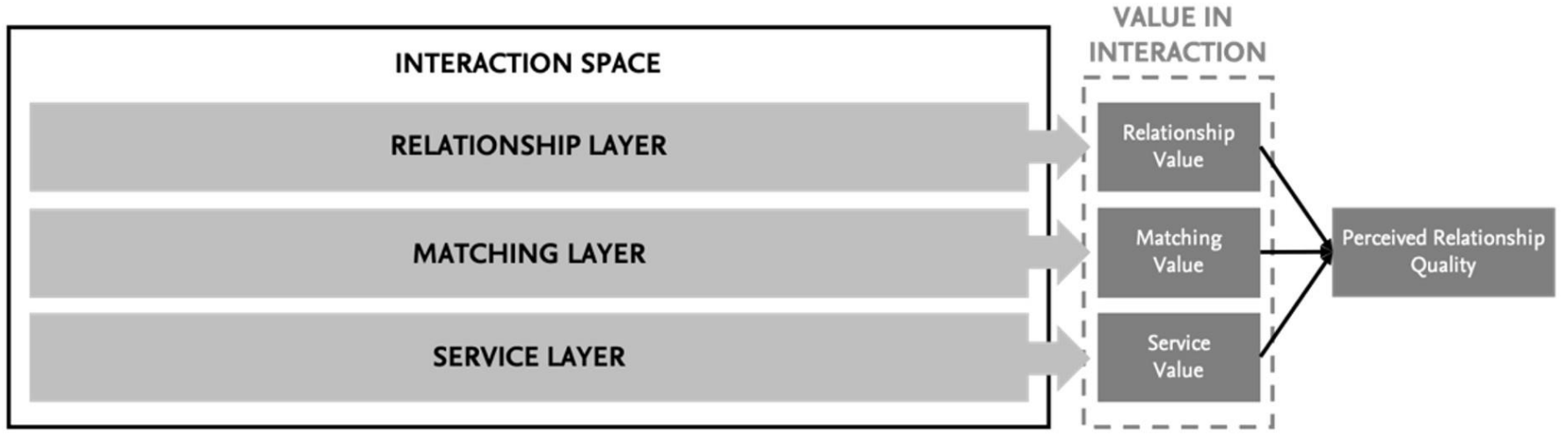
- Value is created in dialogue between actors within interactions
- Interactions refer to practices in which actors are integrated into each other's processes
- The human being as a social being achieves a value in the interaction itself during communication

The value in interaction can be created through services in the interaction and is based on the providers special competences.

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Geiger et al. (2020)

Value in interaction



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Geiger et al. (2020)

Interaction space

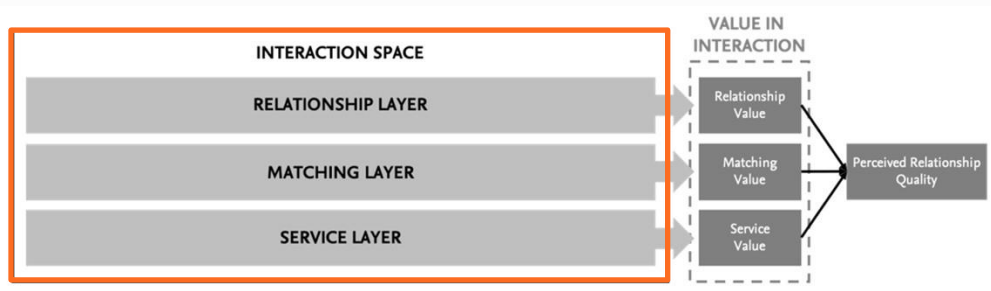
- The basis of any interaction is a connection between the actors in a shared interaction space (can be provisioned by both actors).
- Through interactions in this interaction space, the actors have the opportunity to engage with the other actor.

physical store of a retailer

digital space (website, app or a messenger)



Interaction needs to be seen as valuable by both actors



S Geiger et al. (2020)

Relationship layer

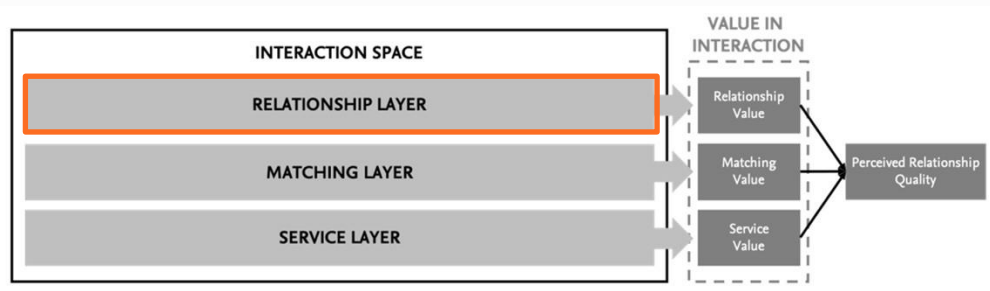
- The relationship layer deals with the emergence, influence and maintenance of the relationship value.
- It describes the quality of the relationship influenced by interactions between the relationship participants and can also be interpreted as a cumulative value across successive interactions

Social/relationship-relevant (dis)advantages

Increases and decreases during any interaction



Relationship creates valuable interactions



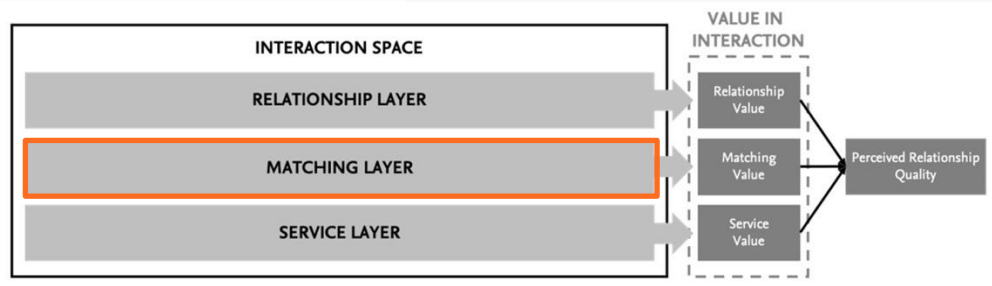
S Geiger et al. (2020)

Matching layer

- The matching value is the ability of the two actors to anticipate the needs of the other and to "match" these with their own abilities and competencies
- Actors select the appropriate operant resources and competencies for the existing needs of the other actor

The right approach

A prerequisite for the interaction to be continued, for it to function in the best possible way and for the value to be created at the service layer.



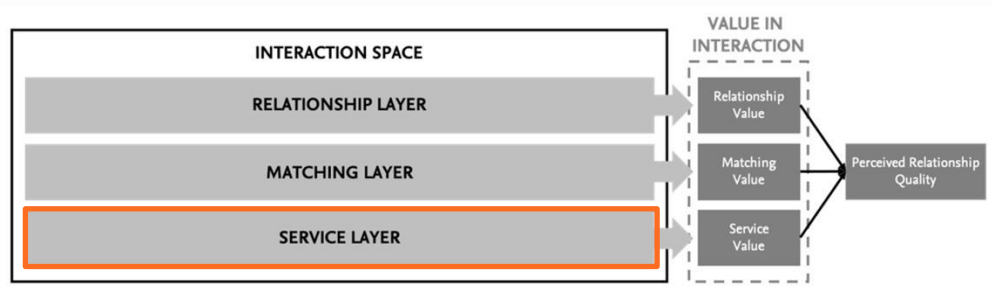
S Geiger et al. (2020)

Service layer

- The service value arises directly within the interaction or during the simultaneous processes of the actors in the value co-creation
- It describes how the interaction itself influences the actual service

Influences the value in use

➡ It arises during the entire process of service provision itself



S Geiger et al. (2020)

Value: Summary

- **Value** is the amount of progress a beneficiary feels having achieved
- **Value in use** is the value that is created by the customer
- **Value in interaction** is the glue between actors
- **Interaction space** which can be a website, an app, a physical store. It is the space where customer and provider meet

Provider cannot create value, only propose value!
Its important to anticipate the value of the customer and make a good proposition.



Service ecosystems

DEF

Relatively self-contained, self-adjusting system of resource-integrating actors connected by shared institutional arrangements and mutual value creation through service exchange.



Highlights the complex, dynamic, and multi-actor nature of value co-creation.

“Like natural ecosystems, service ecosystems exhibit the quality of emergence and are, therefore, beyond the full control of any individual actor”



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Vink et al. (2020)

KM: Service co-creation is not a dyad, it's multi actor